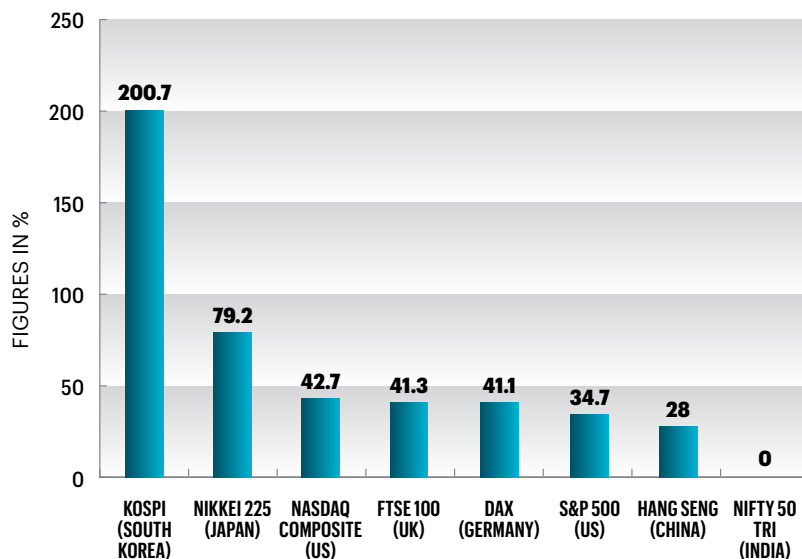


INDIAN MARKETS UNDERPERFORM

• While Indian markets delivered nil returns in absolute terms over the past two years, overseas markets gained 34.7-200%



NOTE DATA FROM JUNE 30, 2024-JUNE 30, 2026

SOURCE GOOGLE FINANCE

against an international currency, it adds to returns in local currency terms. Over the past 20 years (June 2006-June 2026), the rupee has moved from 46 to 95 against the US dollar. This represents depreciation of around 4% a year. It comes on top of US dollar returns given by the asset. If the rupee appreciates against the dollar, returns would drop.

Does international exposure mean largely investing in US-based companies?

“The US will likely remain the default allocation simply because of depth and liquidity—nothing else really compares in scale,” says Rahul Bhutoria, Director and co-founder of Valtrust, a family office.

“The US alone accounts for 64-65% of global equity market capitalisation (MSCI ACWI weights), with Japan a distant second at around 5%, followed by the UK, China, and Canada in the 2-4% range. That said, there are other segments worth a look,” says Bhutoria.

MSCI ACWI is short for Morgan Stanley Capital International All Country World Index, a flagship global equity benchmark.

International investing is much broader than putting money in US technology stocks, says Niranjan Avasthi, President of Edelweiss Mutual Fund.

“Opportunities exist across Europe, emerging markets, and increasingly China, where valuations in several sectors appear

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the past three years, according to AMFI and CRISIL Intelligence.

Diversification in new geographies has benefits. Investors should keep in mind the taxes, compliance norms and operational aspects.

BETTING OVERSEAS

The plus points are obvious. While Indian equity markets have delivered nil returns in absolute terms

over the past two years (June 2024 to June 2026), overseas markets, including the US, the UK, China, South Korea and Germany, gained 34.7-200%.

Shah of Mirae Asset says Indian market capitalisation is just 4% of the world's. “Global markets provide access to companies, sectors, and themes that may not be meaningfully represented in India.”

When the rupee depreciates

SEEKING GREENER PASTURES



Technology stocks and US market remain the main draw



China, Taiwan and Vietnam are emerging investor destinations

